AVA cBot CRO Verdict

AVA cBOT — CRO VERDICT

Date: 4 October 2026 | **Board seat:** Chief Risk Officer **Submission:** *Asian Acceptance (AVA): approval to build and forward-test the gold cBot*, 3 Oct 2026, 20 pages **Request:** build the cBot · 6-month Pepperstone Razor demo at 67% size · the §8 promotion and stop criteria **Capital at risk in this request: NIL**

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1. VERDICT

APPROVED. Build it, run the demo, adopt the §8 criteria — with five conditions in §5.

The request asks for no capital. The only resource at stake is his time, and the plan's own stop rules cap even that. **There is no rational basis to refuse a no-capital forward test of a pre-registered, holdout-validated rule.** The Red Team's job here is not to block it but to make sure the demo can actually fail.

On the quality of the submission

This is the most rigorous piece of research the board has received, and that includes the discretionary work. Specifically: **pre-registration** of every test before its data was examined; a **one-time holdout** read once; **5,000-path Monte Carlo in 20-day blocks** so losing streaks stay clustered; a **neighbouring-settings plateau** (all 54 profitable in both halves); **pessimistic costs at ~2× measured, then doubled again** as a stress case; **multiple-testing correction**; a **random-entry control**; and an **audited null market**. Most funds do not work to this standard. It is recorded, and it is why the verdict is short.

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2. WHAT THE EVIDENCE SUPPORTS

Measure	Path 2, taken trades, pessimistic costs
Result per trade	**+0.32R** (+0.17 to +0.47), p < 0.001
Trades	687 over 12.6 years
Win rate	33%
Average win / loss	+2.89R / −0.95R
Profit factor	1.50
First half / second half	+0.23R (p 0.03) / +0.38R (p 0.001)
Holdout, 125 unseen trades	**+0.30R**, PF 1.48, 8 of 13 months positive
Costs doubled again	**+0.18R**, p 0.01 — still positive

The edge survives every stress the author applied to it. The separation from the random-entry baseline (+0.08R on gold before costs, against the rule's +0.31R) is the single most persuasive number in the report: the acceptance signal, not gold's general intraday tendency, carries the result.

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3. THE FOUR FINDINGS

3.1 Path 2 has no holdout protection. The researched setting does.

§12 states it plainly: "*Path 2 was chosen from neighbouring settings **after** the holdout was read.*" So the +0.30R holdout validates the **researched** setting; Path 2's +0.32R does not inherit that protection, and its advantage is unproven at p 0.16.

The author already handles this — Path 1 runs in shadow — but the plan does not say what *forces* a revert. **Condition 2 makes it explicit.**

3.2 The market-selection multiple-comparison problem

Eleven other markets were tested; gold passed at p 0.007. A Bonferroni correction across twelve markets puts that at **p ≈ 0.084 — outside 5%.**

The holdout is the defence and it is a good one — a frozen rule read once on unseen data is immune to selection across markets. But it defends the *researched* setting only, which reinforces 3.1. Noted, not disqualifying.

Related: the EURGBP control was designed to show no edge and returned **+0.15R before costs** (+0.04R after, p 0.30). It washes out after costs, and the author audited it and disclosed it. The honest read is that there is a small baseline drift in the engine or in intraday FX generally; the rule's excess over the random-entry baseline is ~+0.23R rather than the headline +0.31R. **Still a real edge. Just smaller than the top-line number.**

3.3 The flat spells collide with the relocation window

Plan	Longest under water, history	Monte Carlo bad case (1 in 10)
67% demo	18 months	**46 months**
100% full	18 months	**47 months**
Floor plan	46 months	**68 months**

A 46-month flat spell spans the entire Phase A relocation window. And flat is harder to hold than down — a drawdown feels like an event, four years of nothing feels like being wrong.

This is not an argument against the system. It is an argument for **never letting this bot be the thing that has to work by a date.** The §8 band already judges results against a 5th-percentile band rather than against zero, which is the correct instrument. Keep it.

3.4 The question the report does not ask: what is this bot *for*?

The report evaluates AVA as a standalone system. The board has to evaluate it as an income instrument, and the arithmetic is decisive.

Burn is ₦1,250,000/mo = $937/mo = $11,244/yr at ₦1,334.

Deployment	Annual return	Net to him	vs burn
His own liquid USD (~16,000, 10k committed) at 19.4%	$3,104	$3,104	**28% of burn**
Capital required to cover burn at 19.4%	—	—	**~$58,000**
Capital required at 12.9% (demo size)	—	—	**~$87,000**
Passed $100k prop, floor plan 8.7%, 80% split	$8,700	$6,960	**62% of burn**
Passed $100k prop, demo size 12.9%, 80% split	$12,900	$10,320	**92% of burn — short**
Passed $100k prop, **full size 19.4%, 80% split**	$19,400	**$15,520**	**138% of burn — COVERS**

Three conclusions:

1. **AVA cannot cover burn on his own capital.** It needs ~58,000; *he has* 16,000 with ~$10,000 committed. As a personal-capital instrument it is a compounding engine, not an income source.
2. **AVA covers burn on one passed $100k prop account at full size, with 38% headroom.** That is the business case, and it is a sound one.
3. **But full size is ~13 months away at best** — Stage 1 demo (6 months), then Stage 2 live at demo size, then 60 taken trades before promotion. At ~55 taken trades a year, **60 trades is itself about 13 months.** The honest earliest date for burn coverage via AVA is **late 2027 to early 2028**, and that assumes a prop account is passed in the meantime.

For the 2027 wedding gate this matters: AVA is not a 2027 income stream. It may well be a 2028 one. The gate's dependence on the IOA's first mandate is unchanged by this submission.

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4. THE $94k FTMO ACCOUNT — THIS SUBMISSION SETTLES THE OPEN RED TEAM ITEM

The standing question: is the $94k account a live opportunity or an impaired one? AVA's own drawdown statistics answer it.

The account's parameters: target $110,000 = **+17.0%** from $94,000. Floor $90,000 = **−4.26%** of rope.

AVA sizing plan	CAGR	Max DD, history	MC median	MC 1-in-20	Fits in 4.26%?
67% demo size	12.9%	10.0%	12.1%	18.1%	**NO**
Full size	19.4%	14.7%	17.7%	26.0%	**NO**
Floor plan, 10% floor	8.7%	8.0%	7.9%	9.1%	**NO**
Floor plan, 5% floor	4.3%	4.0%	3.9%	**4.5%**	**MARGINAL — the 1-in-20 case breaches**

The only sizing that even approaches fitting is the 5% floor plan, whose 1-in-20 drawdown still breaches the account — and at 4.3% a year it would take roughly 3.7 years to make +17%.

> **FINDING: the $94k FTMO account cannot be recovered by this system under any sizing plan the report offers. Treat it as impaired. Reset, rebuy, or leave it — do not trade it.**

By contrast, the untouched $100k FTMO account: 10% of rope against a 10% target. The **floor plan (8.0% max DD, 9.1% at 1-in-20, 8.7% CAGR)** fits inside the rope and reaches +10% in roughly **14 months**. The 67% demo plan at 10.0% historical max DD sits exactly on the limit and its 1-in-20 case of 18.1% destroys the account.

> **The report says it itself — "*the floor plan suits prop-firm accounts with hard loss limits*" — and the arithmetic confirms it. If AVA is ever pointed at an FTMO challenge, it runs the floor plan, not the base plan.**

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5. CONDITIONS OF APPROVAL

#	Condition
1	**The parity check is a gate, not a report.** The cBot's own cTrader backtest must reproduce the research engine's trades on Pepperstone data *before* the demo starts. Already planned — this makes it blocking.
2	**Explicit revert rule for Path 2.** Path 2 lost its holdout protection when it was selected post-hoc. If at 60 taken trades Path 2 has not outperformed the researched setting running in shadow, **revert to the researched setting.** Without a stated revert, the shadow column is decoration.
3	**Confirm a minimum stop-distance floor.** The stop sits at the previous day's POC — a variable distance — and position size is risk ÷ stop distance. A day where the acceptance level sits close to the POC produces a maximum-size position with maximum gap exposure. The 2% risk cap and max lot size blunt this but do not target it. A floor of ~0.5 × ATR15 is the cleaner instrument. **Is there one? If not, add it.**
4	**Log MFE (maximum favourable excursion) on every trade from day one.** It costs nothing now and is expensive to retrofit. It is also the measurement that settles the discretionary realised-R-vs-planned-R question, so one field serves both books.
5	**Decide the $94k account before any live step.** §4 above gives the arithmetic; the decision is his. It should not still be open when Stage 2 is requested.

Minor, not conditions: the event calendar's 60-day expiry warning falls back to first-Friday NFP dates, but CPI and FOMC have no simple rule —

note the renewal as a recurring diary item. And the top tier (+1.11R over 112 in-sample trades) correctly runs in shadow; 112 trades is a small subset and its error bars are wide.

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6. WHAT THE DEMO MUST BE ALLOWED TO DO

The §8 band is well built and the board adopts it without change:

After	5th percentile	Median	95th percentile
27 trades (~6 months)	−10R	+8R	+31R
60 trades (~13 months)	−10R	+18R	+51R
110 trades (~2 years)	−4R	+34R	+78R

"*Even with the edge intact, about one forward test in seven is negative after 60 trades. So the test is judged against the band, not against zero.*"

That sentence is the single most important risk-management line in the submission. A negative six months does not falsify this system, and a positive six months does not validate it. The band is the instrument. Judge against it.

Stop rules adopted as written: halt and review below the 5th percentile at any monthly review or on any critical execution failure; de-risk and review on a tripwire alarm; review if the daily loss guard triggers twice in a month or the backtest twin disagrees on more than 5% of days.

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7. STANDING RECORD

- **Submitted:** 3 Oct 2026. **Approved:** 4 Oct 2026, conditions §5.
- **Live capital:** not requested, not granted. A separate CRO approval is required for Stage 2.
- **Next CRO checkpoint:** Stage 1 review after 6 months of demo and at least 27 taken trades.
- **Standing finding:** AVA is not a 2027 income stream. Earliest realistic burn coverage is late 2027 to early 2028, and only via a passed $100k prop account at full size. The 2027 wedding gate remains dependent on the IOA's first mandate.
- **Open item closed:** the $94k FTMO account is **impaired**. No sizing plan in this report can recover it inside its remaining rope.